11. Mani, Gani and Soni are partners sharing the profits and losses in the ratio of 4:5:6. Mani retires from the firm. Calculate the new profit sharing ratio and gaining ratio.

(Answer: New profit sharing ratio and gaining ratio is 5:6)

Adjustment for goodwill

12. Rajan, Suman and Jegan were partners in a firm sharing profits and losses in the ratio of 4:3:2. Suman retired from partnership. The goodwill of the firm on the date of retirement was valued at ₹ 45,000. Pass necessary journal entries for goodwill on the assumption that the fluctuating capital method is followed.

(Answer: Suman's share of goodwill: ₹ 15,000;
Rajan's capital: ₹ 10,000 (Dr.); Jegan's capital: ₹ 5,000 (Dr.))

13. Balu, Chandru and Nirmal are partners in a firm sharing profits and losses in the ratio of 5:3:2. On 31st March 2018, Nirmal retires from the firm. On the date of Nirmal's retirement, goodwill appeared in the books of the firm at ₹ 60,000. By assuming fluctuating capital account, pass the necessary journal entry if the partners decide to

(a) write off the entire amount of existing goodwill

(b) write off half of the existing goodwill.

(Answer: (a) Balu's capital: ₹ 30,000 (Dr.); Chandru's capital: ₹18,000 (Dr.);
Nirmal's capital: ₹ 12,000 (Dr.)(b) Balu's capital: ₹ 15,000 (Dr.);
Chandru's capital: ₹9,000 (Dr.); Nirmal's capital: ₹6,000 (Dr.))

Adjustment for current year's profit or loss upto the date of retirement

14. Rani, Jaya and Rathi are partners sharing profits and losses in the ratio of 2:2:1. On 31.3.2018, Rathi retired from the partnership. Profit of the preceding years is as follows: 2014: 10,000; 2015: ₹ 20,000; 2016: ₹ 18,000 and 2017: ₹ 32,000

Find out the share of profit of Rathi for the year 2018 till the date of retirement if

(a) Profit is to be distributed on the basis of the previous year's profit

(b) Profit is to be distributed on the basis of the average profit of the past 4 years

Also pass necessary journal entries by assuming partners capitals are fluctuating.

(Answer: (a) Rathi's share of profit: ₹ 1,600); (b) Rathi's share of profit: ₹ 1,000)

Settlement of amount due to the retiring partner

15. Kavin, Madhan and Ranjith are partners sharing profits and losses in the ratio of 4:3:3 respectively. Kavin retires from the firm on 31st December, 2018. On the date of retirement, his capital account shows a credit balance of ₹ 1,50,000. Pass journal entries if:

(a) The amount due is paid off immediately.

(b) The amount due is not paid immediately.

(c) ₹ 1,00,000 is paid and the balance in future.

(Answer: (a) Kavin's loan: Nil; (b) Kavin's loan: ₹ 1,50,000; (c) Kavin's loan: ₹ 50,000)

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